

We'll understand ETFs in just a minute, but for the moment it is enough to know that instead of buying physical gold, you can buy gold that is held by the mutual fund through a gold ETF.

Gold ETFs were launched in 2007 and quickly became popular as investors saw the logic of a good deal. You get lower cost than buying physical gold, you don't have to worry about purity, there are no 'making' charges and it is safer – you don't have to rent a locker to store your gold.

You buy a unit of the gold ETF at the current market price of gold and the ETF invests that money in bullion of 99.55 per cent purity. One unit of an ETF is equal to 1 gram of gold. Gold funds became very popular in India in the great gold rush after the financial crisis of 2008.

What's the cost of this product? You have to pay the cost of a demat account and its brokerage to buy the gold ETF. This usually costs about Rs 1 per lakh for a retail investor with limited trades. The fund house charges an annual cost called expense ratio. This is between 0.9 per cent to 1 per cent of your assets under management or gold ETFs. Read the section on understanding expense ratio and how to think about it to get this better.

But falling gold prices and a new product in the market has reduced interest in gold ETFs. The Government of India has launched gold bonds to offer an alternative to gold buyers in the country. Gold imports are a heavy burden on our foreign exchange reserves and sometimes cause a balance-of-payment problem. To allow people to buy gold and yet not cause a loss of foreign exchange, the government has launched the Sovereign Gold Bond Scheme.

Not only is there no cost to the product, investors also get a rate of interest along with a sovereign guarantee. ***Remember, the role of gold in your money box is to provide diversification and a hedge against inflation.***

Equity funds

I love equity funds. They have funded my home renovation and holidays; they will put my kid through college and will see me through my retirement. But to really get the best out of this category you need to understand it very well. This